Position Sizing

Position sizing is how you work out what volume to place on a trade.
Golden Rule -> never risk more than 1% of your trading account per trade
Stop Loss -> order placed with your broker that automatically closes a trade if it moves against you & reaches a predetermined price level.
You must use a stop loss every time you place a trade.
Position sizing is the link between these two concepts. It determines how much money you place on the trade depending on the pip size of your stop loss.

Most common causes of excess losses:

1. **Exotic pairs -> high spreads, low volume**
2. **Slippage -> broker fills your order for a different price than you set**
3. **Rounding error -> always round your position size down**
4. **Broker error**